

RIO: Rio Tinto Group

Fortress Balance Sheet · Capital Efficiency · Energy Transition Exposure

Net Debt/EBITDA	ROIC	ROE 2026E	EPS CAGR 2Y
0.69x	15.3%	21.6%	+12.4%
LTM → 0.46x fwd 2026	vs 16.0% LTM	FY2026 Estimate	2-Year Forward
Value Rank	Growth Rank	FCF Growth	DPS Growth
46/100	74/100	+69.8%	+22.4%
Top 20% in EU universe	Top 20% in EU universe	FY2026E YoY	FY2026E YoY

THE INSTITUTIONAL QUALITY BLUEPRINT

When macroeconomic uncertainty rises, institutional asset allocation tends to rotate toward a specific combination: fortress balance sheets, high capital efficiency, and structural tailwinds. Rio Tinto Group (RIO) represents the textbook definition of this **Quality Play** within the basic materials sector. With a market capitalisation exceeding £136 billion, RIO is no longer just a cyclical iron ore bet — it has evolved into a strategic proxy for the global energy transition, holding massive stakes in Copper, Aluminium and Lithium.

1 · A Fortress Balance Sheet — De-Risking Cyclicity

Mining is capital-intensive and prone to sharp macro shocks. Yet RIO operates with a remarkable financial cushion.

- **Conservative Leverage:** LTM Net Debt/EBITDA stands at a conservative **0.69x** — well below the sector average — with forward estimates projecting compression to just **0.46x** by 2026.
- **Shock Absorber:** This positions the company to absorb commodity price volatility without compromising its investment programme or shareholder returns.

2 · Best-in-Class Capital Efficiency

A key differentiator for premium miners is how effectively they deploy capital.

- **ROIC Leadership:** RIO boasts an LTM Return on Invested Capital of **15.3%** — a threshold that screens out most sector peers.
- **ROE Expansion:** Return on Equity is forecast to expand meaningfully from 16.0% to **21.6%** by 2026, reflecting strong pricing power in transition metals and rigorous cost discipline.

3 · The Free Cash Flow Avalanche

For the fiscal year ending 2026, RIO's Free Cash Flow is projected to surge by +69.8% YoY, reaching over \$10.1 billion. This cash generation capacity fully underpins an aggressive and credible shareholder return policy.

- **Payout Ratio:** Historically maintained at a robust **61.7%**.
- **Dividend Growth:** Dividend Per Share projected to increase **+22.4% YoY** in FY2026.
- **Capital Allocation Discipline:** Reinvestment focused on high-return transition metal assets (Copper, Lithium).

4 · Bottom-Line Inflection

While legacy miners are often characterised as low-growth vehicles, RIO's strategic repositioning is delivering measurable results.

■ **Top-Line Momentum:** Revenue is projected to grow **+9.9%** in 2026, driving a meaningful re-rating catalyst.

■ **Earnings Jump:** Normalised Net Income is forecast to rise **+27.0% YoY**, resulting in a solid **12.4% forward 2-year EPS CAGR** — a growth profile rarely associated with a £136bn large-cap basic materials company.

The Bottom Line

In a sector where volatility is a given, RIO offers a rare combination: a heavily de-risked balance sheet, defensive yield characteristics, and pure exposure to the structural demand for transition metals. It is exactly the kind of sleep-well-at-night compounding vehicle that anchors institutional portfolios — and one that our quantitative Value and Growth scoring models consistently flag as a high-conviction name within the European large-cap universe.

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